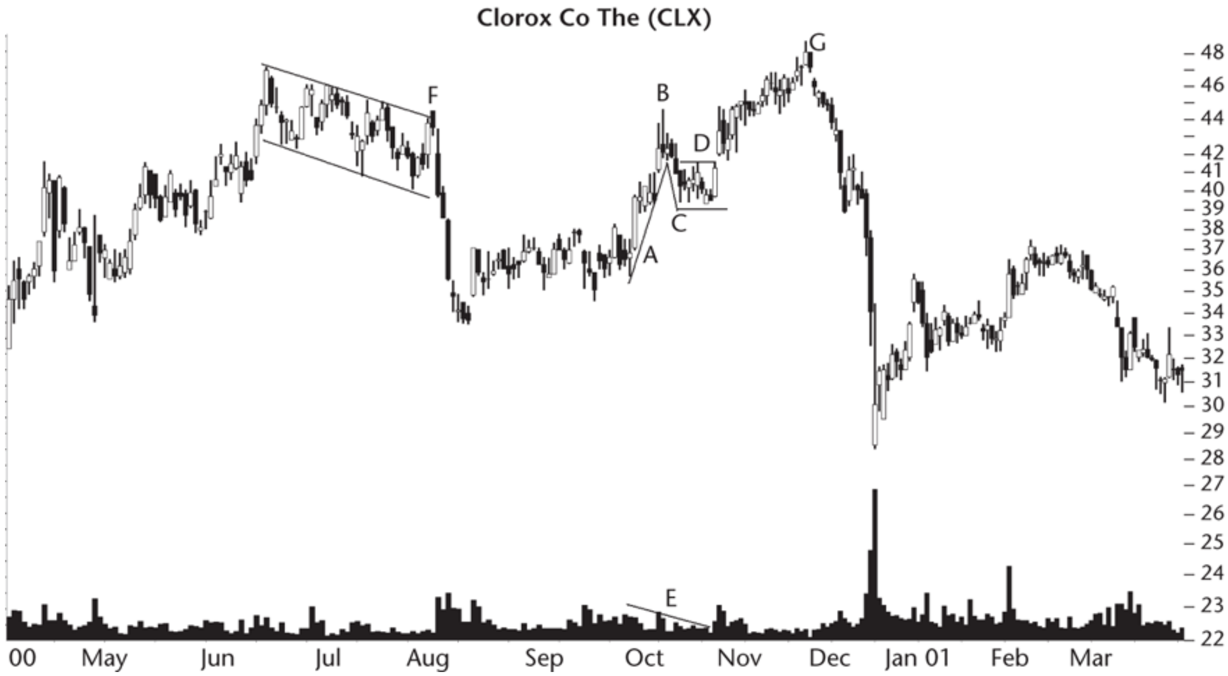

Figure 72.3 Price breaks out upward from this extended V-top. Upward breakouts are rare, but they happen.

In this case, the stock makes a surprise move, gapping higher (breakaway gap) and breaking out upward at D, closing above the top of the extension (the top horizontal line just below D).

The failure of this pattern to break out downward is key. If you shorted the stock during formation of the extension, you'd likely take a loss when price climbed to G.

But there's another type of failure: the failure of a stock to drop far after a downward breakout (the so-called 5% failures). Let's discuss statistics so we can pin down how often the extended V-top fails (which we'll see in Table 72.3).

Statistics

Table 72.2 shows general statistics for the extended V-top.

Number found. I found 1,739 patterns (with upward and downward breakouts) in 891 stocks with the first pattern appearing in July 1991 and the most recent in October 2019. The table reflects only those patterns with downward breakouts.